

# Lecture 6: Institutions and Institutionalisms (AUW)

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*Political Science — Master Notes · by Jakob V. Stangel*

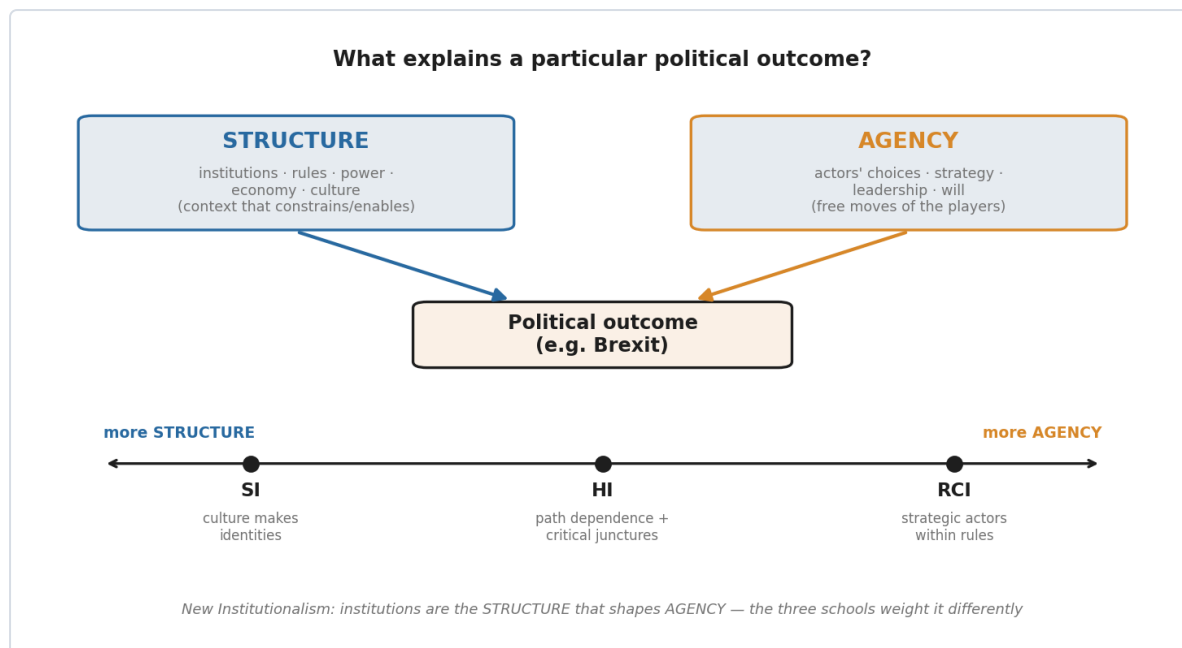
**Required reading:** Hall & Taylor (1996), *Political Science and the Three New Institutionalisms* · Busemeyer & Thelen (2020), *Institutional Sources of Business Power* (an HI example)

**Theme of the lecture:** the role of **institutions and structures** in political processes — how institutions **shape the behaviour of political actors**, and what drives institutional **change vs continuity** — focusing on the **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** variants of **New Institutionalism** (with path dependence and **institutional legacies** as central concepts).

**Lecture frame (AUW) — the essentials before the three schools**

**Core:** institutions ≠ organizations. Institutions are the **rules/norms that enable or constrain actors**; organizations are **groups of actors**. (*Ayca's example: the **Social Democratic Party** is an organization; the constitutional & legal rules, its internal statutes, and the unwritten norms governing it — e.g. can an MP defy the leadership and keep their job? — are institutions.*)

- **The grand debate it enters: structure vs agency** — *what explains a particular political outcome?* (the deck's opening question). Two pure answers:
  - **Structure** = the **context that shapes action** — institutions, rules, laws, social & economic structures, distributions of power, culture. On this view an outcome is driven by the **situation actors are in** (the "board and rules of the game"); actors are almost **carried along** by their environment.
  - **Agency** = the **capacity of actors to choose and act** independently — strategy, leadership, will. On this view an outcome is driven by **what particular people decided to do** (the "players' free moves").
  - *Why it matters:* explain **Brexit** (or any outcome) and you're implicitly taking a side — was it the deep **structures** (Britain's institutional history, its economy, EU rules) or the **agency** of key actors (Cameron calling the referendum, Johnson/Farage campaigning)? Pure structure = actors are dupes of context; pure agency = "great men" make history.
  - **New Institutionalism's answer** (the "revised" theory: behavioralism → institutionalist critique → New Institutionalism) is a **middle position: institutions are the key structure that shapes agency** — they **enable and constrain** actors without fully determining them. And the three schools sit at **different points** on the structure⇌agency line: **SI** most *structural* (culture constitutes actors' identities & preferences → least free agency), **RCI** most *agency* (strategic actors freely maximise *within* the rules), **HI** in between (path dependence & power dominate, but actors act at **critical junctures**).



**How to read it (the deck's opening framing).** The **same outcome** (e.g. Brexit) can be explained by **structure** (the constraining context — institutions, rules, power, culture) or by **agency** (what actors chose to do). Institutionalism says it's *both*, with institutions as the structure that channels agency — and the **spectrum** at the bottom is the exam-useful part: **SI** leans most structural (culture makes the actors), **RCI** leans most agency (strategic actors within fixed rules), **HI** sits in the middle (path dependence + critical junctures). Locating a school on this line is how you answer "which weights structure vs agency?"

- **Why study institutions?** They have **profound political consequences** — e.g. electoral system → party system (majoritarian → two-party; PR → multiparty — Lectures 4–5); parental-benefit design → labour-market gender equality.
- **The definition of "institution" widens across the three schools** — this is the key organising idea:

| School                    | What counts as an institution                                                                                                                                                          |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>RCI</b><br>(narrowest) | <b>"Rules of the game"</b> — constitutions, laws, regulations, court decisions                                                                                                         |
| <b>HI</b> (middle)        | The above + <b>procedures, routines, norms, conventions</b> (how things are done; SOPs)                                                                                                |
| <b>SI</b> (broadest)      | All the above + <b>symbol systems, cognitive scripts, moral/discursive templates</b> — "frames of meaning" (role of the state, national identity, patriarchy, institutional racism...) |

## Hall & Taylor (1996) — The Three New Institutionalisms

### Chapter résumé

Hall & Taylor show that "the new institutionalism" is **not one theory but three** — **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** institutionalism — which arose in the 1980s–90s (all reacting against 1960s–70s **behavioralism**) yet developed **independently**, "paint quite different pictures of the political world," and rarely cited each other. They compare the three on **two questions**

fundamental to any institutional analysis: (1) how institutions relate to behaviour, and (2) how institutions originate and change. Their verdict: none is wrong — each captures a **partial** truth — so they call for **cross-fertilisation**.

★ **The heart of the reading:** three schools answer the same question — *how do institutions shape political behaviour and outcomes?* — very differently. **RCI:** institutions are rules that structure **strategic interaction** among fixed-preference utility-maximisers ("calculus"). **HI:** institutions distribute **power** unevenly and lock in **paths** over time (eclectic). **SI:** institutions are **cultural frames of meaning** that constitute actors' very identities and preferences ("cultural"). The exam task: fill in the comparison table and use it to build *three competing explanations* for one outcome.

**The red thread.** Everything reduces to **two cross-cutting approaches** (Hall & Taylor's own device): the **calculus approach** (actors strategically maximise; institutions give certainty about others' behaviour; persist as a **Nash equilibrium**) vs the **cultural approach** (actors interpret via worldviews; institutions provide moral/cognitive templates; persist because **taken-for-granted**). **RCI = pure calculus · SI = pure cultural · HI = both**. For any theory ask: *calculus or cultural — and how does that answer "how do actors behave / what do institutions do / why do they persist"?*

## Key concepts / "modes" to use

- **The three schools:** RCI · HI · SI (+ the widening definition of "institution").
- **Calculus vs cultural approaches** — the master framework for *how institutions affect behaviour*.
- **RCI toolkit:** strategic interaction · collective-action dilemmas · gains from exchange · **Nash equilibrium**.
- **HI toolkit:** power asymmetries · **path dependence** · critical junctures · **unintended consequences**.
- **SI toolkit:** frames of meaning · logic of appropriateness · isomorphism · legitimacy.

## Section-by-section main points

### What "New Institutionalism" is — and why it's "new"

**Core:** New Institutionalism is the family of approaches (from the 1980s) holding that **institutions shape political behaviour and outcomes** — reviving institutions as an *explanation* after behavioralism had sidelined them. The single claim uniting all three schools: **institutions are not a neutral backdrop; they structure what actors do** (they then disagree on *how*).

- **Why "New"?** — **three waves of theory** (the deck's *original* → *counter* → *revised* arc):
  - ① **Original theory** — "old" institutionalism (early–mid 20th c.): the **descriptive** study of *formal* institutions — constitutions, legal codes, the machinery of government. Detailed on paper rules, but **static, atheoretical, country-by-country** — it described institutions without explaining behaviour.
  - ② **Counter theory** — **behavioralism** (1960s–70s): reacted *against* the old school — politics should be a **science of observable behaviour** (attitudes, voting, opinion), explained by

**individuals and informal processes.** Institutions were demoted to **epiphenomena** — just the aggregate of individual choices, so the formal rules "don't really matter."

- ③ **Revised theory — New Institutionalism** (1980s–90s): **brings institutions back in** — but *revised*. It concedes the behavioralist focus on action, yet insists institutions **actively shape and constrain** that action and its outcomes (not merely describe it). "Institutions back in, now doing real explanatory work" is what makes it **New**. (*This is also the structure  $\rightleftharpoons$  agency answer: institutions are the structure that channels agency.*)
- **What New Institutionalism studies — institutions, through three guiding questions** (deck):
  - ① **What do institutions look like?** — e.g. **Danish labour-market rules** ("flexicurity" — flexible hiring/firing + strong welfare security); **post-conflict peace-building** institutions (truth & reconciliation commissions in **Rwanda, South Africa**).
  - ② **What similarities & differences do they show across contexts?** — e.g. **neocorporatism in Sweden vs Germany**; **presidentialism in the US vs Brazil** (same type, different workings — Lecture 4).
  - ③ **Why do they show those similarities/differences across time & space?** — the question the **three schools answer differently** (RCI vs HI vs SI). *Today's reading is exactly this move*: why does **privatisation of education take three different forms** in Germany, Sweden and the USA (Busemeyer & Thelen)?
- **The pay-off for the rest of the lecture**: all three schools **agree** institutions matter and shape behaviour; they then **split two ways** — on *how* institutions work (**calculus vs cultural**) and on *what even counts* as an institution (the widening definition above). Those two splits generate the three schools below.

## The two archetypes — calculus vs cultural

**Core**: any institutionalism must answer three questions — *how do actors behave? what do institutions do? why do they persist?* — and there are two archetypal answer-sets.

*In plain terms*: the **calculus** side sees people as **calculators** (institutions are the rules that make deals work); the **cultural** side sees people as **role-players** following scripts (institutions are the shared meanings that tell us what's "done"). This one split is the engine of the whole lecture — **RCI = pure calculus, SI = pure cultural, HI = both**.

|                                 | Calculus approach (→ RCI)                                                                   | Cultural approach (→ SI)                                                                               |
|---------------------------------|---------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| <b>How do actors behave?</b>    | Instrumental, strategic <b>utility-maximisers</b> ; preferences given <b>exogenously</b>    | Behaviour <b>bounded by a worldview</b> ; <b>satisficers</b> ; choice depends on <i>interpretation</i> |
| <b>What do institutions do?</b> | Provide <b>certainty</b> about others (information, enforcement); shape <b>expectations</b> | Provide <b>moral/cognitive templates</b> ; shape <b>identities &amp; preferences</b> themselves        |
| <b>Why do they persist?</b>     | They're a <b><u>Nash equilibrium</u></b> — deviating makes you worse off                    | <b>Taken-for-granted</b> ; one actor can't change a collective convention                              |

HI is eclectic — it uses *both*.

## ★ The three institutionalisms compared (*the exam table — from the screenshot*)

**Core:** memorise this. To answer "why did outcome X happen?", read *across a row* for three competing explanations.

| Dimension                           | Rational Choice (RCI)                                                                                                                                       | Historical (HI)                                                                                                        | Sociological (SI)                                                                                                         |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <b>Definition of institutions</b>   | Rules/procedures that structure <b>strategic interaction</b> (narrow)                                                                                       | Formal/informal <b>procedures, routines, norms, conventions</b> embedded in the polity/economy (tied to organizations) | <b>Symbol systems, cognitive scripts, moral templates</b> — "frames of meaning" (dissolves the institution/culture line)  |
| <b>Example they study</b>           | <b>US Congress</b> (committees, rules of procedure)                                                                                                         | <b>Cross-national public policy</b> (welfare states, labour, corporatism)                                              | <b>Organizational forms &amp; their diffusion</b> (why education ministries worldwide look alike)                         |
| <b>Institutions ↔ behaviour</b>     | <b>Calculus</b>                                                                                                                                             | <b>Eclectic</b> (both)                                                                                                 | <b>Cultural</b>                                                                                                           |
| <b>How do actors behave?</b>        | Fixed <b>exogenous preferences</b> ; instrumental, strategic maximisers                                                                                     | Both strategic <i>and</i> worldview-shaped (strategies can <b>ossify into worldviews</b> )                             | Socially-constituted interpreters; " <b>logic of appropriateness</b> " — what's "rational" is itself socially constituted |
| <b>What do institutions do?</b>     | Structure strategic interaction; provide info/enforcement → reduce uncertainty, enable <b>gains from exchange</b> ; solve <b>collective-action problems</b> | <b>Structure conflict</b> — privilege some interests, demobilise others; distribute <b>power unevenly</b>              | Confer <b>meaning &amp; legitimacy</b> ; constitute actors' <b>identities &amp; preferences</b>                           |
| <b>Why do they persist?</b>         | They're a <b>Nash equilibrium</b> (deviation costs you)                                                                                                     | <b>Path dependence</b> — groups develop interests "costly to shift"                                                    | <b>Taken-for-granted</b> ; can't be changed by one individual                                                             |
| <b>How/why do they change?</b>      | Deductive; <b>voluntary agreement</b> / competitive selection ( <i>weak on change</i> — the "equilibrium paradox")                                          | <b>Critical junctures</b> (crisis/war) → <b>branching points</b> ; otherwise path-dependent                            | Adopt new <b>templates for legitimacy</b> (not efficiency); <b>borrowing/diffusion</b> ; can even be <i>dysfunctional</i> |
| <b>Particular focus</b>             | Strategic interaction; collective-action dilemmas; gains from exchange                                                                                      | <b>Power asymmetries; path dependence; unintended consequences; ideas</b>                                              | <b>Legitimacy; culture; isomorphism</b>                                                                                   |
| <b>Key concepts</b>                 | transaction costs, principal–agent, Nash equilibrium, gains from exchange                                                                                   | path dependence, critical junctures, <u>unintended consequences</u> , "mobilization of bias"                           | frames of meaning, cognitive scripts, <u>logic of appropriateness</u> , isomorphism                                       |
| <b>Hall &amp; Taylor's critique</b> | <b>Thin/"simplistic" motivation</b> ; exogenous preferences; <b>functionalist</b> origins                                                                   | Vague on the <b>precise causal mechanism</b> ; too <b>inductive</b>                                                    | <b>"Bloodless"; "action without agents"</b> ; misses <b>power</b>                                                         |

## Rational Choice Institutionalism (RCI) — the "calculus" school

**Core:** institutions are the **rules of the game** that let self-interested players strike deals they otherwise couldn't trust each other to keep — and they last because **breaking them would leave you worse off**.

- **In plain terms:** everyone is out for themselves and constantly *calculating*. Left alone, people get stuck in situations where they'd *all* be better off cooperating but nobody trusts anyone else to do their part. Institutions are the **rules that make cooperation pay**, so people follow them.
- **Where it came from — the US Congress puzzle** (this is *why* the school exists): plain rational-choice theory predicted Congress could never pass stable laws. Legislators want different things on many issues, so any bill should be beaten by a new majority — endless "**cycling**." Yet Congress *does* produce stable legislation. **Why?** Because its **rules** structure the game: agenda control limits which options get voted on, committees carve up jurisdiction, and enforcement makes **logrolling** (vote-trading) deals stick. Those rules **lower the "transaction costs" of doing deals** and let legislators capture "**gains from exchange**." → *institutions solve the collective-action problems that would otherwise paralyse a legislature*.
- **Its four defining assumptions:**
  1. **Fixed preferences + strategic maximising.** Actors have a set menu of wants and act instrumentally to get as much as possible, via extensive calculation.
  2. **Politics = collective-action dilemmas.** Individually rational choices often produce a **collectively bad** result (classic images: the **prisoner's dilemma**, the **tragedy of the commons**) — unless an institution guarantees others will cooperate too.
  3. **Strategic interaction is central.** What you do depends on **what you expect others to do**; institutions shape those expectations by supplying **information + enforcement** that cut the uncertainty about everyone else.
  4. **Origins explained by function.** An institution exists *because of the value it delivers* to those who set it up — created by **voluntary agreement**, or selected because efficient forms **out-compete** rivals.
- **Borrowed toolkit:** the "new economics of organization" — **transaction costs** (Williamson), **property rights**, **principal-agent** (how "principals" monitor and enforce compliance on their "agents," e.g. Congress over regulatory agencies).
- **Why institutions persist — a Nash equilibrium** (*in plain terms*: a settled situation where **no one can do better by breaking ranks alone**, so everyone sticks with it).
- **Best at:** precise, generalisable theory; and above all **explaining why institutions persist**.
- **Weak at — origins & change.** Three linked charges: **functionalist** (you can't read an institution's origins off its *effects* — unintended consequences are everywhere); **intentionalist** (assumes founders foresaw those effects — "heroic prescience"); **voluntarist** (treats creation as equals freely contracting, **ignoring power asymmetries**). Plus the **equilibrium paradox**: if the status quo is *already a Nash equilibrium*, why would anyone agree to change it? (RCI needs a better theory of *dynamic equilibria*.)
- **Exemplars:** US Congress — **Shepsle, Weingast; Cox & McCubbins** (parties, not just committees); **Ostrom** (common-pool resources); **North** (economic institutions); **Tsebelis** (EU reform).

## Historical Institutionalism (HI) — power + path dependence

**Core:** institutions **hand power to some groups and not others**, and early choices push a country down a **path** that gets costly to leave — so big change waits for rare crisis moments (**critical junctures**).

- **In plain terms:** history matters, and the playing field is **tilted**. The rules a country built long ago give some groups the upper hand and lock the country onto a track. You mostly stay on that track — until a shock (war, economic crisis) forces a switch.
- **Where it came from:** reacted against 1960s **group theory** and **structural-functionalism** (plus a neo-Marxist debate) → brought the **state** back in as an actor that *structures* group conflict rather than neutrally refereeing it. Most HI work = **cross-national comparisons of public policy** (welfare states, tax, labour movements).
- **What counts as an institution (a middle-width definition):** the **formal and informal procedures, routines, norms and conventions** embedded in organisations — from a constitution's rules to a bureaucracy's standard operating procedures to the conventions governing unions or bank–firm relations.
- **Its four features:**
  1. **Eclectic on behaviour** — uses **both calculus and cultural approaches**. Sometimes actors strategically calculate (Immergut: doctors' groups compromise or not depending on where they can appeal a decision); sometimes strategies "**ossify over time into worldviews**" that then shape identities (Hattam: US vs British unions developed different outlooks).
  2. **Power asymmetries (its signature move)**. Institutions **distribute power unevenly** — they give some groups **disproportionate access** to decisions and "structure conflict to privilege some and demobilise others." So HI stresses that **some groups win while others lose** (this is the *2nd and 3rd faces of power* from Lecture 1). (*Steinmo on tax; Weir on which coalitions can form.*)
  3. **Path dependence + unintended consequences**. *In plain terms:* the *same* pressure produces *different* results in different countries because each inherited a different institutional track. Past policy leads groups to organise, adopt identities and build interests that become "**costly to shift**" → **lock-in**. Change is bunched at **critical junctures** — crisis/war moments that open a "**branching point**" onto a new path; between them, continuity rules. **Acknowledged weakness:** HI is weak on explaining *what triggers* a critical juncture in the first place.
  4. **Ideas belong in the causal chain**. Institutions aren't the *only* cause — ideas matter too (Goldstein: US institutions amplified some trade ideas over others; Weir: institutions set the *timing* of when Keynesian ideas caught on).
- **Why institutions persist** — **path dependence / lock-in** (*in plain terms:* the longer you're on a track, the more expensive it becomes to reverse, so you don't).
- **Best at:** the most "**commodious**," **realistic** school — the **bridge/pivot** between RCI and SI (its arguments translate into RCI terms yet open toward SI).
- **Weak at:** pinning down the **exact causal mechanism** (the price of being eclectic); and it leans so heavily on **induction** (digging through the historical record) that it's been **slow to build systematic, generalisable theory**.
- **Exemplars:** Immergut (health-care reform), **Steinmo** (tax), **Hattam** (US labour), **Skocpol** (welfare states & state capacity), **Thelen** (how institutions evolve). (*The school Busemeyer & Thelen exemplify — see below.*)

## | Sociological Institutionalism (SI) — culture & legitimacy

**Core:** institutions are cultural frames of meaning — the scripts, symbols and "done things" of social life — that shape not just what actors *do* but **who they think they are and what they want**; organisations adopt practices to look **legitimate**, not to be efficient.

- **In plain terms:** we do most things because they're "**the normal, proper way**," not because we've calculated they pay off. Institutions *are* culture — they hand us the mental **scripts** for what's even thinkable, and organisations copy the **respectable** forms to fit in, **even when those forms don't actually work well**.
- **Where it came from: organization theory** in sociology (late 1970s). It challenged the Weberian assumption that organisations look alike because that's the **most efficient** design. Its counter-claim: the striking sameness across firms, schools and ministries is **culturally transmitted** — forms spread like "myths and ceremonies," adopted because they're **legitimate**, not because they're efficient.
- **Its three features:**
  1. **A very broad definition of "institution."** Not just rules and norms, but **symbol systems, cognitive scripts and moral templates** — the "frames of meaning" that guide action. This **dissolves the line between "institutions" and "culture"** (the *cognitive turn*: culture is a web of scripts and templates, not just warm attitudes/values).
  2. **How institutions shape action — the *cognitive view*.** They supply the scripts and categories you need to **interpret the world at all**; they specify not just what you *should* do but **what you can even imagine doing**. So institutions shape actors' **identities and preferences themselves** — not just constrain pre-set preferences. People act by a "logic of appropriateness" (*in plain terms*: asking "what fits my role / what's the done thing here?" rather than "what's my biggest payoff?"). Even what counts as "rational" is **socially defined** — people act to **express who they are appropriately**, not only to grab material gain.
  3. **Origins & change = legitimacy, not efficiency.** An organisation adopts a practice because it's **valued in the wider culture** and makes the organisation look legitimate — **even if the practice is dysfunctional** for its real goals (Campbell: a logic of appropriateness vs a *logic of instrumentality*). *Where legitimacy comes from:* the **regulatory state** (by fiat), **professions** (professional standards), **discussion networks/forums** (shared "cognitive maps" of best practice), and transnational ideas of "**modernity**"/"**development**." (*Fligstein: firms diversified because it became the valued thing in managers' professional circles; Soysal: immigration policy followed international human-rights norms of what's appropriate, not what was functional.*)
- **Isomorphism** (*in plain terms*: organisations in the same field **coming to look identical** — same forms, procedures, symbols — by copying the legitimate template "regardless of local conditions").
- **Why institutions persist — *taken-for-granted*.** They're so obvious no one questions them, and **no single person can change a collective convention** on their own.
- **Best at:** meaning, legitimacy, identity — and the **inefficiencies RCI can't explain** (the classic point: you still **stop at a red light with no one around** — hardly a payoff-maximising move). It even explains where RCI's "given" preferences *come from*.
- **Weak at: power & agency** — critics call it "curiously **bloodless**"; it can miss the **power struggles** in institutional change and end up looking like "**action without agents**."

- Exemplars: Meyer & Rowan ("myth & ceremony"), DiMaggio & Powell (isomorphism / the "organizational field"), March & Olsen (logic of appropriateness), Dobbin, Fligstein, Soysal.

## Change vs continuity — each school's answer (AUW's deck; the Brexit test)

**Core:** take one outcome (e.g. Brexit) and give three competing explanations — one per school.



How to read it (the Brexit outcome the three schools explain). The 2016 referendum: **72.2%** turnout, **51.9% Leave vs 48.1% Remain** — razor-thin — with the district map showing a **geographic split** (Scotland, London & N. Ireland Remain-blue; most of England & Wales Leave-pink). This single result is the *explanandum*: **RCI** reads it as actors' cost-benefit calculus and interests, **HI** as path dependence hitting a critical juncture, **SI** as a clash of identities/paradigms — same fact, three lenses.

| School     | Explains CHANGE by...                                                                                                                                  | Explains CONTINUITY by...                                                                      |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>RCI</b> | disrupted equilibrium; actors' <b>interests</b> (utility-max, cost-benefit); strategic action; <b>few veto players</b> (or in agreement)               | policy <b>equilibrium</b> ; <b>many veto players</b> (or in disagreement)                      |
| <b>HI</b>  | <b>critical junctures</b> ; <u>unintended consequences</u> ; powerful <b>agenda-setters</b> ; institutional inertia                                    | <u>path dependence</u> ; <b>policy lock-in</b> ; institutional power vested in key actors      |
| <b>SI</b>  | <b>societal shifts</b> (materialism→post-materialism); a new <b>economic paradigm</b> (Keynesianism→neoliberalism); IR shift (multilateral→unilateral) | deep <b>taken-for-granted</b> structures; <b>national identities</b> ; nested power structures |

### ★ Worked example — the three schools explain **Brexit**

**Core:** the exam move is to take **one outcome** and give **three competing explanations**. None is "the" answer — each spotlights a different driver, and they're strongest *combined*. Each school's Brexit account, developed:

① **RCI — Brexit as strategic actors pursuing interests.** Institutions are rules that structure the strategic game; the outcome is the aggregate of **cost-benefit calculations** by utility-maximisers.

- **Elite gamble:** Cameron called the 2016 referendum as a *rational* move to manage his own party — buy off Eurosceptic backbenchers and kill the **UKIP** threat — **expecting Remain to win**. A calculated bet (that misfired: unintended consequence, but the *decision* was strategic). Leave elites (**Johnson, Gove**) likewise made career-maximising bets.
- **Voters as calculators:** those who read themselves as **economic losers** from EU membership/immigration (job & wage competition, strained services) found Leave in their interest; **winners** (London finance, exporters reliant on the single market, the highly educated) voted Remain.
- **Rules of the game:** a **binary referendum stripped out the usual veto players** (parliament's equilibrium was bypassed), so a bare 51.9% majority could flip policy.
- *Blind spot:* takes preferences as **given** — it can't say *why* so many Britons wanted "out."

② **HI — Brexit as a critical juncture releasing a path-dependent tension.** Institutions distribute power and **lock in paths**; big change needs a **critical juncture**.

- **Path dependence:** Britain was always the "*awkward partner*" — it **stayed out of the founding EEC (1957)**, joined **late (1973)**, then negotiated **opt-outs** (no euro, no Schengen, the budget rebate). Forty years of *half-in* membership + a sovereign **Westminster** tradition jealous of pooled sovereignty + a Eurosceptic press kept **exit latent** on the path.
- **Critical juncture + timing:** the referendum landed at a specific conjuncture — **post-2008 austerity** and the **2015 refugee crisis** — that gave Leave its opening; Cameron's **2015 election pledge** (itself an unintended consequence of earlier intra-party moves) set the branching point.
- *Blind spot:* strong on *why Britain / why now*, weak on the **precise decision mechanism** on the day.

③ **SI — Brexit as a clash of identity frames.** Institutions are **cultural frames of meaning** that constitute identities; people act by the **logic of appropriateness**, and change = a shift in the taken-for-granted paradigm.

- **Identity, not calculation:** Leave mobilised a **national-sovereignty identity** ("take back control") against a **cosmopolitan, pro-European** one — the deep split was **older/less-educated/"left-behind" towns vs younger/urban/university-educated**. Voting Leave *expressed who people felt they were*.
- **Cultural backlash / values shift** (Norris & Inglehart): a **materialist→post-materialist** realignment in which **cultural identity trumped economic interest** — for a certain British self-understanding, being governed from Brussels simply wasn't "appropriate" to *being British*.
- *Blind spot:* strong on **meaning/identity**, weak on **power and strategic agency** (who engineered the vote).

**Putting them together (cross-fertilisation).** They're complementary: **HI** explains *why Britain and why 2016* (the path + juncture), **SI** explains *why the identity cleavage existed to be mobilised*, and **RCI** explains *why Cameron gambled and how interests aggregated into 51.9%*. That's the model answer — locate each on the structure⇒agency spectrum (SI most structural → RCI most agency) and show how the three combine.

## ■ Hall & Taylor's conclusion — cross-fertilise

**Core:** each school reveals a **genuine but partial** dimension of behaviour, so they should **borrow from each other** rather than stay in isolation.

- Who does what: **RCI** = precision & persistence (weak on motivation/change); **HI** = power & history (weak on mechanism); **SI** = meaning & legitimacy (weak on power/agency). HI is the **bridge** — its arguments translate into RCI terms yet open toward SI (actors pick institutions strategically, but "from a menu made historically available").
- **Emerging syntheses they cite:** **Kreps** (corporate culture as an efficient supplement to monitoring); **Garrett & Weingast** (norms/ideas as "**focal points**" that select among multiple equilibria); **Scharpf** ("decision rules" [incentives] + "decision styles" [beliefs about appropriate behaviour]); **Bates & Weingast** (strategic interaction as **signalling games** needing cultural context). (*Caveat: they don't claim a full synthesis is yet possible — "there is much to be said for tenacious debate."*)

## Key terms

| Term                                | Meaning                                                           |
|-------------------------------------|-------------------------------------------------------------------|
| Institution vs organization         | Rules/norms that constrain actors vs groups of actors             |
| Calculus vs cultural approach       | Strategic maximising vs interpretation-by-worldview               |
| RCI / HI / SI                       | Rational-choice / historical / sociological institutionalism      |
| Nash equilibrium                    | Why institutions persist for RCI (deviation costs you)            |
| Collective-action dilemma           | Individually rational, collectively bad (RCI's image of politics) |
| Path dependence                     | Past choices lock development onto costly-to-reverse paths (HI)   |
| Critical juncture / branching point | Crisis moment when big institutional change sets a new path (HI)  |
| Unintended consequences             | Ubiquitous — why you "can't deduce origins from consequences"     |
| Mobilization of bias                | Institutions distribute power unevenly (HI)                       |
| Logic of appropriateness            | Act on what's socially appropriate, not calculation (SI)          |
| Isomorphism                         | Organizations in a field converge on the same form (SI)           |
| Frames of meaning                   | Symbol systems/scripts that constitute action (SI's institutions) |

## Exam pointers

- Reproduce the **RCI/HI/SI comparison table** — the exam's whole point (Ayca's table).
- Nail **institution ≠ organization** and the **widening definition** (RCI rules → SI frames of meaning).
- Use the **calculus vs cultural** distinction to explain *how* each school links institutions to behaviour.
- Run the **change-vs-continuity table** on one outcome — see the **worked Brexit example: three competing explanations** (RCI strategic gamble/interests · HI critical juncture/path dependence · SI identity-frame clash), then combine them.
- Know each school's **signature critique** (RCI thin motivation · HI vague mechanism · SI bloodless/no power).

# Busemeyer & Thelen (2020) — Institutional Sources of Business Power (*an HI example*)

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## Chapter résumé

An **exemplary Historical-Institutionalist study**: where does **business power** come from? The standard split is **structural** power (business's privileged position as investor — the exit/investment threat) vs **instrumental** power (lobbying, donations). Busemeyer & Thelen add a third, **institutional business power** — power that "results when state actors **delegate public functions to private business actors**" and, "over time, through **policy feedback and lock-in effects**," produces an **asymmetrical dependence of the state on business**. They prove it in **education/skill formation** (a "quintessentially public" area where you'd *least* expect business power) across **Germany, Sweden, and the USA**.

★ **The heart of the reading**: business power isn't a fixed feature of capitalism — it's **built by institutions over time**. Once the state hands parts of a public service to private actors, **policy feedback + lock-in** make the state **dependent** on them and the change **near-impossible to reverse**. This is *classic HI*: **power asymmetries compounding through path dependence**.

## Section-by-section main points

### The argument — a third kind of business power

**Core**: to structural + instrumental power, add **institutional business power** — endogenous to **past policy-design choices**, not a generic feature of capitalism.

- **Three types**: **structural** (investor's exit threat — Lindblom) · **instrumental** (lobbying/donations) · **institutional** (entrenched role in delivering a **public function**). They act as "**communicating vessels**."
- **Two conditions** set how strong institutional power is: **(1) the credibility of business's exit threat** and **(2) the depth of state dependence** (has the state lost the capacity to provide the service itself?). Both high → power strongest.
- Once entrenched, institutional power grants business insider "**quiet politics**" access (Culpepper) — so it needs far less *overt* lobbying. The three cases are deliberately "**most different**" (Esping-Andersen's three welfare worlds × Hall & Soskice's *varieties of capitalism*) to show a **common dynamic despite maximally different systems**.

### Three mechanisms → three countries

**Core**: the *same* dynamic (state shares a public function → feedback entrenches business → lock-in) plays out three ways across maximally different systems.

| Country        | Mechanism           | What happened                                                                           |
|----------------|---------------------|-----------------------------------------------------------------------------------------|
| <u>Germany</u> | <b>Delegation</b>   | state consciously shares regulatory space with employers (dual apprenticeship training) |
| <u>Sweden</u>  | <b>Deregulation</b> | state retreats from provision (school <b>vouchers</b> / for-profit "free schools")      |
| <u>USA</u>     | <b>Accretion</b>    | private actors <i>invite themselves in</i> (venture philanthropy, charter schools)      |

- **Germany — Delegation (dual vocational training).** Firm-based apprenticeships rest on **employer voluntarism** (~500,000 youths/year, ≈ the number entering university). **Highest** institutional power: both state dependence *and* exit threat are high. Twice (**1970s**; **red–green 1998**) governments floated a statist **training levy** + school-based alternative; both times employers threatened to cut training places and the government **backed down** — and by the 2000s **unions & Social Democrats had reversed** to defending firm-based training (preference **conversion via feedback**). → *Delegation + lock-in + preference change = HI.*
- **Sweden — Deregulation (school vouchers).** Early-1990s reforms broke a near-total **public monopoly**; public money now funds private "independent" schools. By 2014 **ten corporations held 30% of the market** (biggest: AcadeMedia, owned by VC firm EQT); ~85% of voucher schools are **for-profit** — a "welfare-industrial complex." The **2016 Reepalu** profit-cap proposal died after providers threatened to shut down; Reepalu himself: "*we'd be in an easier situation if this had been introduced twenty years ago*" (**lock-in spoken aloud**). → *Deregulation + self-reinforcing feedback (even unions flipped pro-privatisation).*
- **USA — Accretion (venture philanthropy & charters).** Wealthy donors (**Gates, Broad, Walton**) "invite themselves" into education, funding charter schools/CMOs. **High exit threat, lower state dependence** (private funds *supplement*). Charters ≈6% of US enrolment but **~95% in post-Katrina New Orleans**; **Gates ranked the most influential individual in US education policy — ahead of the Secretary of Education.** In the 2014 de Blasio vs **Eva Moskowitz** fight, Walton-funded groups bused parents to Albany and Gov. Cuomo vowed "*We will save charter schools!*" → *Accretion — instrumental power converting into entrenched institutional power.*

## Why it's HI — and how RCI/SI would differ

- **HI hallmarks:** **power** runs through the whole study (asymmetric state↔business dependence tilting "over time"); **historical legacies** (each country a longitudinal narrative); **path dependence & lock-in** ("reclaiming lost territory becomes more difficult over time"); **policy feedback**; **critical junctures** (German 1982 government change; **Hurricane Katrina** enabling New Orleans's charterisation).
- **RCI would say:** business power = a credible **exit/holdup threat** in a principal–agent game; delegation persists because it's **efficient** (lowers state costs) — but static RCI misses the *temporal tilt* and the change in actors' preferences.
- **SI would say:** private provision spreads because it becomes **legitimate/taken-for-granted** (Germans see employer involvement as "an asset"; Swedes internalise "free choice"; Gates's role "taken for granted") — an NPM/"choice" **template diffusing** (isomorphism) — but SI under-weights the raw **power** the authors foreground.

## Exam pointers

- Use this as your **worked HI example**: name the mechanism per country (**Delegation/Germany** · **Deregulation/Sweden** · **Accretion/US**) and show **power** + path dependence + **lock-in**.
- Define **institutional business power** vs structural vs instrumental, and its **two conditions** (exit threat + state dependence).
- Be ready to **re-explain the same outcome in RCI and SI terms** (Ayca's exercise).

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## Informal institutions (*AUW coda*)

**Core: informal institutions** = the "informal rules of the game" — "*socially shared rules, usually unwritten, created, communicated and enforced outside officially sanctioned channels.*" They can matter as much as formal ones (esp. in weak states) — and are **not necessarily undemocratic**.

- **Examples: *dedazo*** ("big finger", Mexico — the outgoing PRI president secretly picks his successor) · ***amakudari*** ("descent from heaven", Japan — retired bureaucrats get corporate jobs) · **clientelism** (Peronist Argentina). *Not* undemocratic: the **folkways of the US Senate** (Matthews 1959 — apprenticeship, courtesy, reciprocity, specialisation); pre-Erdoğan Turkish university-rector elections.

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## ★ Fun facts & memorable details

Sticky bits from Lecture 6 (institutions & institutionalisms).

### Quotable

- The framing line: "*political science today is confronted with not one but three 'new institutionalisms.'*"
- **SI's best point** (why we're not just calculators): "*anyone who has waited at a traffic light when no one else was around*" has to admit institutions work non-instrumentally too.
- **RCI's key logical error** (Hall & Taylor): "*one cannot safely deduce origins from consequences*" — because unintended consequences are everywhere.
- SI critique in three words: "*action without agents.*"
- **Reepalu (Sweden)**: "*We'd be in a somewhat easier situation if much of what we're proposing had been introduced some twenty years ago*" — path dependence, out loud.
- **Cuomo (US)**: "*We will save charter schools!*"

### Memorable

- The three schools "**developed quite independently of each other**," each "assiduously burnishing its own paradigm" — a paper about theories that ignored each other.
- **Germany**: ~500,000 start firm-based apprenticeships each year — about the same as start university.
- **New Orleans** after Katrina: ~95% of children in charter schools — the highest of any US city.
- **Bill Gates** was ranked the **single most influential individual in US education policy** — ahead of the **Secretary of Education** (who, at the time, was herself a venture philanthropist).

- **Institution ≠ organization:** the Social Democratic *Party* is the organization; the rules and unwritten norms governing it are the *institutions* — the distinction the whole lecture turns on.
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## PART II · INTERNATIONAL RELATIONS